Hungary: 2027 fiscal targets likely out of reach

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Magyar likely to fall short on ambitious 2027 fiscal targets

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Prime Minister Peter Magyar has proposed an ambitious budget for 2027 that aims to front-load the adjustment required to meet the goal of securing euro membership by about 2032.
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Yet external risks, particularly the crisis in the Middle East, combined with mounting domestic fiscal pressures, will likely make it difficult for the government to meet its 2027 goal.
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To maintain Hungary's trajectory towards euro adoption, Magyar will likely introduce further corporate tax increases through 2030 to meet the Maastricht criteria.

Magyar has proposed an ambitious 2027 budget to keep Hungary on track for euro adoption. Hungary's 2027 budget draft, revealed piecemeal across the last week of October, targets a front-loaded reduction in the budget deficit from the revised 7.5% of GDP this year to 4.9% in 2027. The government intends that move to serve as the first key step toward cutting the deficit to 2.8% of GDP by 2030, just below the 3% threshold for euro membership. Meeting that goal would allow Hungary to enter the European Exchange Rate Mechanism II, followed by euro adoption about two years later, in 2032.

Increased budget outlays include long-promised increases in public-sector wages, pensions, healthcare, and social care. Many, though not all, of these measures benefit lower-income groups. The government targets savings of roughly €4 billion, some 1.5% of GDP, by cutting ministry spending, canceling overpriced contracts, and improving fiscal management.

On the revenue side, the budget projects corporate income tax revenue to rise by 42% to €3.8 billion. It also anticipates higher revenue from sectoral taxes and the controversial new wealth tax.

The budget draft predicts GDP growth of 2.4% in 2027, up from 1.8% projected earlier this year, and inflation of 3%, up from 1.7%.

GDP growth in 2026 might fall below expectations. Within days of the release of the main budget figures, however, GDP data for the third quarter of 2026 showed annual growth slowing to 1.5%, largely because a year-long drought hit agriculture, energy, and other sectors.

The government believes increased industrial output will lift fourth-quarter growth. Even so, the third-quarter data casts doubt on whether Hungary can meet its 2026 growth target of 1.8%, later lowered to 1.7%. The drought's continuation through the first five weeks of the fourth quarter adds to that risk. Slower growth in 2026 could jeopardize 2027 growth targets.

External factors pose risks for 2027 budget. Hungary is extremely vulnerable to high international energy prices. The crisis in the Middle East will therefore continue to push fuel prices higher, fueling public concern. As a result, the government has proposed postponing the planned increase in the inflation-linked excise duty on premium auto fuels from 1 January to 1 July next year. Although the revenue effect is minuscule, the measure mainly benefits higher earners.

If high energy prices persist into 2027, they will likely raise inflation and slow growth. They could also prompt Magyar to introduce subsidies or other price-relief measures, potentially complicating fiscal consolidation efforts.

Domestic pressures will heighten fiscal risks. The 2027 budget draft increases subsidies for household utility bills, a Fidesz-era measure that offered some relief to lower-income groups but primarily benefits wealthier households. Moreover, the government has still not lifted the price caps on popular food items, which were introduced as an emergency measure to curb inflation, despite Magyar's pledge to do so.

The minimum wage for 2027 is another source of friction. The government, pointing to inflation below 2%, has offered a 4% increase and argues that the economy cannot support more. Unions, however, are demanding at least a double-digit rise, given that the increase was originally set at 14% three years ago under former Prime Minister Viktor Orban. If the government concedes, as it likely will, broader wage pressures will intensify and add to inflation.

The wealth tax is another contentious measure. It aims to raise less than 1% of GDP. If compliance proves burdensome or if the tax weakens investment appetite, the political cost could outweigh the fiscal gain. It is likely to directly affect only 15,000 individuals. Still, 14 business associations—including the Hungarian Chamber of Commerce—have written to the government claiming that the time and uncertainty created by the levy will prove counterproductive.

Most special taxes will also remain in place, including those on banks, insurers, and retailers. Moreover, the government will extend the retail tax to companies with a lower revenue threshold. Dutch retailer SPAR has urged the European Commission to launch infringement proceedings against Hungary on grounds of discrimination.

Even so, further corporate tax increases remain likely as Magyar tries to manage external risks while keeping Hungary on track for euro adoption.

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